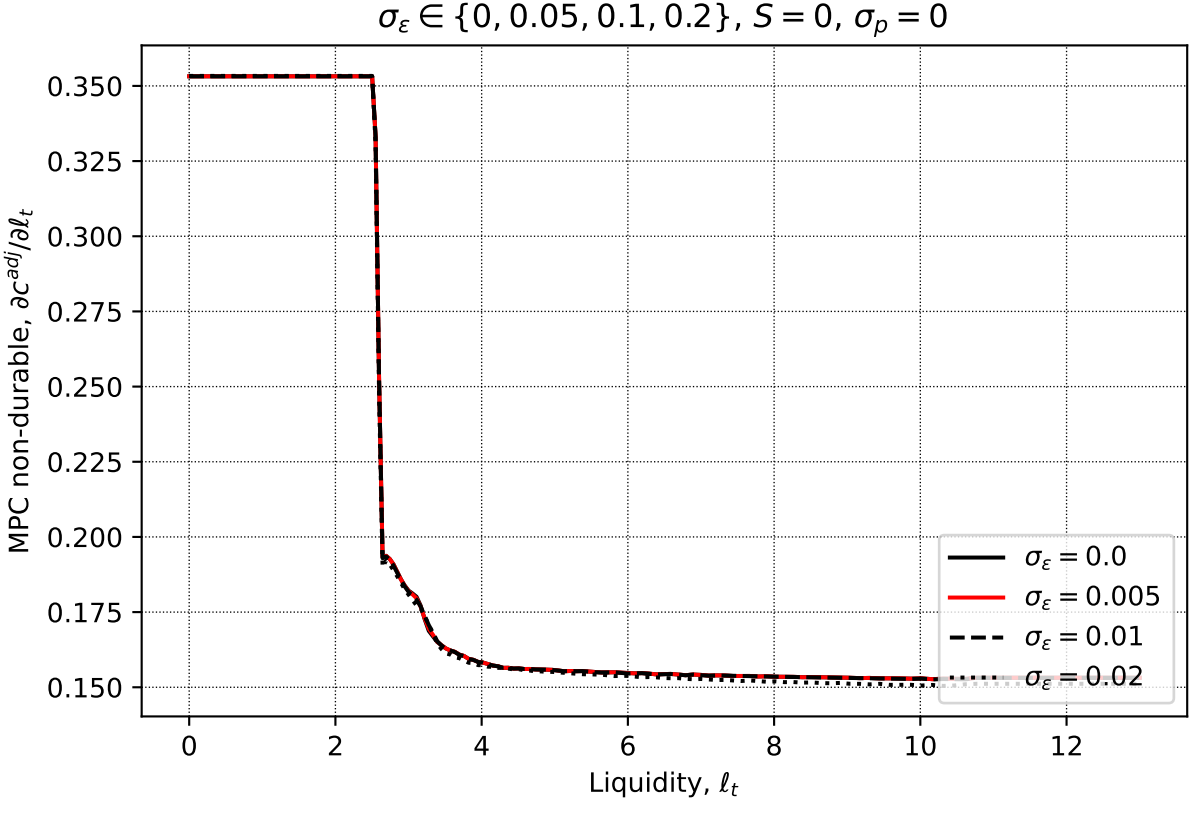
$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
0.350
0.325
0.300
0.275
0.250
0.225
0.200
0.175
0.150
0
2
4
6
8
10
12
Liquidity, ℓ_t
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.005$
$\sigma_\varepsilon = 0.01$
$\sigma_\varepsilon = 0.02$